

Reddit, Inc.

NYSE: RDDT
Current Price: $145.61
Target Price: $207.19
Total 24-month return: 42.3%
Recommendation: LONG

Armaan Niaz, Colin Frawley, Jayden Fung & Matthew Huang

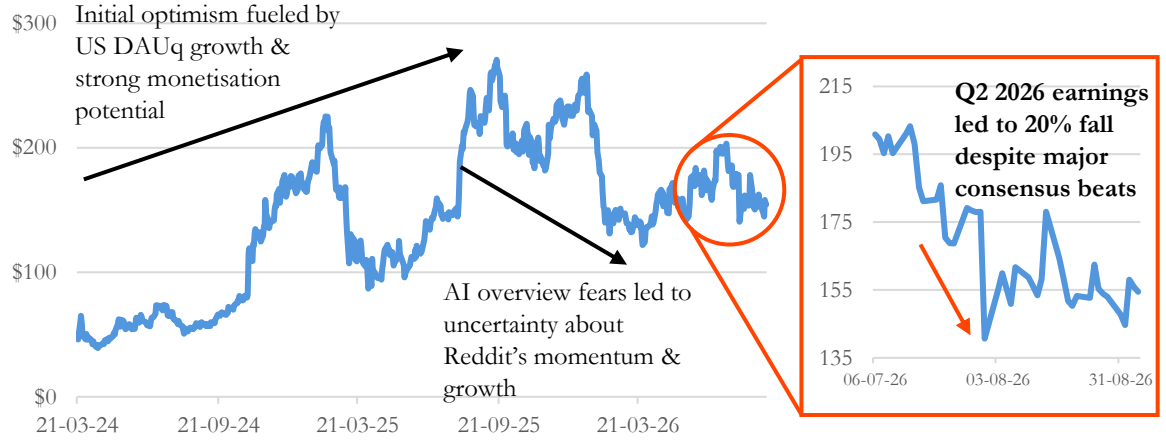
Strong fundamentals overshadowed by user growth concerns create a perfect opportunity

Temporary market overreaction to DAUq volatility masks durable ad pricing power and irreplaceable AI licensing data

Investment Narrative

- A **community-driven discussion platform** where users actively debate ideas, troubleshoot complex problems, and share raw personal experiences, **surfacing authentic, first-person insight that text-based summaries can't replicate**
- Reddit earns revenue through **two streams: advertising**, letting marketers reach highly intent-driven, niche audiences across **130,000+ active communities** and **130M+ DAUq, 500M+ WAUqs**, and **data licensing**, providing AI labs like OpenAI and Google with high quality, authentic conversational data for model training
- Reddit's community structure **gives advertisers precision competitors can't match,** while **its 26B post archive** of authentic data **makes it irreplaceable for AI training**

Historical stock performance



What the Market Thinks

- Search referral volatility raises doubts about Reddit's growth durability
- US DAUq saturation limits expansion in Reddit's most important market
- Unrenewed licensing contracts raise doubts on securing higher terms

What We Think

- Ad pricing, in-app usage, and ad load insulate Reddit from referral traffic uncertainty
- Precision targeting, strong ad tools, and high-value users make Reddit a must-use platform for advertisers
- Reddit's data is irreplaceable to LLMs, giving it real leverage in licensing negotiations

Valuation summary

Implied share price ($) – WACC vs Terminal growth rate

Terminal growth rate \ WACC	11.8%	12.8%	13.8%	14.8%	15.8%
1.50%	190.87	184.89	179.17	173.71	168.48
2.00%	199.63	193.32	187.29	181.53	176.02
2.50%	209.62	202.93	196.55	190.44	184.60
3.00%	221.11	213.99	207.19	200.69	194.47
3.50%	234.46	226.83	219.55	212.60	205.95
4.00%	250.16	241.95	234.11	226.61	219.45
4.50%	268.90	259.99	251.47	243.34	235.56
5.00%	291.67	281.89	272.56	263.64	255.12

FCF's ($mm)		$12,761
Terminal value ($mm)		$52,411
PV FCF's ($mm)		8,992
PV of terminal value ($mm)		30,081
Terminal enterprise value ($mm)		39,073
Net Cash ($mm)		2,786.36
Terminal equity value	($mm)	41,859
Shares outstanding diluted	(M shares)	$202.03
Implied stock price ($)		$207.19
Implied upside (downside) (%)		42.3%

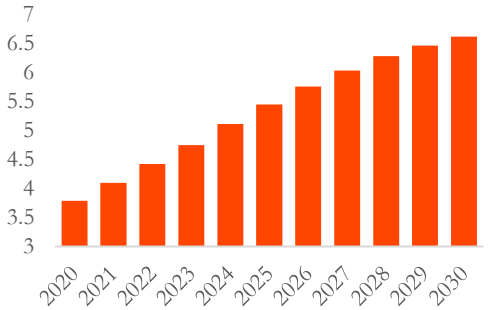
Sources: Bloomberg, Yahoo Finance, Visible Alpha

Reddit differentiates itself as a niche, intent-driven community

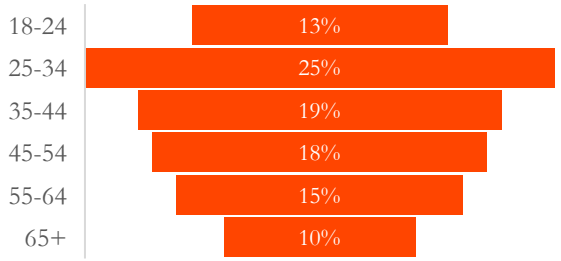
Combining open search discoverability with human consensus in an era of algorithmic fatigue

The social media industry is not expected to stop growing

Social media users 2020-2030 (B)



Share of visitors to online stores, 2025



Tailwinds

- Social media advertising spend estimated at **$530B** by 2030 (**12% CAGR**), particularly as global online retail sales increase
- Younger demographics increasingly start discovery on social platforms, with **40% of 18–24-year-olds using social media** rather than Google for local recommendations
- Global social media penetration at **63.9%**, with internet users spending on **average 141 minutes per** day on social media

Headwinds

- Google AI search overview reduces the need for users to go onto websites to search for information
- Synthetic content (AI Slop) degrades authentic user engagement, however Reddit counters this through community moderation, banning AI generated content on most subreddits
- Increased regulation in the EU and US increases legal compliance costs

Other Social Media

Q&A platforms

- **Transactional problem solving** causes users to seek single answers rather than continuing discussions
- **Zero community culture** where content functions as simply knowledge rather than forming any subcultures

Internet communities

- **Semi-private communities** cause discussions existing in closed servers, invisible to search engine indexation
- **Real-time focus** through chat feeds instead of forum posts

Social networks

- **Passive entertainment loops** through reels create a viral lifestyle culture, where ad screen time is favoured over genuine utility
- **Algorithms create artificial identities** as follower-seeking cultures and influencer sponsorships filter out authentic feedback

Reddit

Topic driven communities

- Subreddits act as **collaborative knowledge ecosystems,** fostering ongoing discussions and niche expertise
- **Shared passion** around mutual interests cultivates long, conversational threads with unique insights only found on Reddit

Searchable forum posts

- **Universal public indexing** allows search engines (both Google, AI and Reddit itself) to capture massive intent-driven queries
- **Permanent archiving** keeps data stored on the platform, accessible years after the thread concludes

Community moderation

- **Decentralised crowd quality control** through >60,000 volunteer moderators and the upvote/downvote system filters out spam and bots
- **Authentic peer consensus** through comments and voting strips away influencer monetisation and vanity metrics

Sources: Statista, Visible Alpha, SEC Filings

A resilient social platform built on contextual value

Topic-driven network effects and long discussions power Reddit's dual monetisation engines across advertising and data licensing

Reddit's core strengths provide a sticky moat

130M+ Daily Active Users (DAUq)

and growing, contributing to over **130k communities** where users participate in both broad and niche topics

- This expanding, high-intent user base transforms the platform into an authentic, **peer-reviewed search engine**
- Millions of specific, purchase-stage queries ("best budget noise-cancelling headphones Reddit") allow conversion ads to reach consumers at the very bottom of the funnel

Topic-driven network effects

keep engagement around shared interests rather than individuals, insulating the platform from influencer churn

- Users self-segment, **letting advertisers target the exact interests users already chose**
- Niches keep splitting into offshoots (e.g. r/investing → r/options, r/valueinvesting), **expanding ad surface area**

Crowdsourcing community curation

through comments keep niche communities self-sustaining

- Voluntary moderation slashes overhead and keeps Reddit's data clean, where human conversation is ideal for enterprise AI licensing, training and modern retrieval augmented generation
- Upvoting pre-filters and human-ranks discussions, making Reddit **ideal training data for AI** summary overviews

US DAUq CAGR
+5.80%

Intl. DAUq CAGR
+29.56%

Total DAUq CAGR
+18.23%

Most visited communities

r/AskReddit
18M weekly visitors

r/mildlyinfuriating
12M weekly visitors

r/whatisit
12M weekly visitors

Gross Margin
91%

Revenue growth
60%+ for last 8Q

Monthly search queries
1 Billion+

Two primary revenue sources drive Reddit

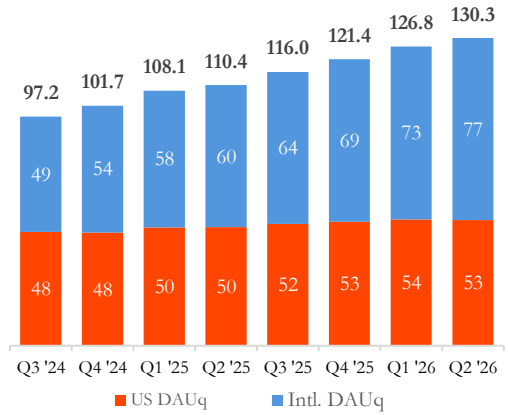
01 Advertising Engine
95% of revenue

- Contextual placement within hyper-specific communities **allows precise targeting without relying on inaccurate tracking cookies**
- Massive ARPU headroom (currently at **$11.85** vs Meta **at $125** for US advertisements)

02 Data Licensing
5% of revenue

- Multi-year agreements, around **~$130M/yr**, grant AI companies the right to use Reddit's Data API for LLM pre-training, fine-tuning, and live content access
- Specialised communities provide un-sponsored product critiques and troubleshooting advice, **making it the best place for AI to cite sources**

	2-year DAUq CAGR	2-year ARPU CAGR
	19.53%	**41.65%**
	4.92%	19.08%
	6.83%	6.60%



Sources: Visible Alpha, SEC Filings

Ad pricing, ad load and in-app users insulate Reddit from user growth uncertainty

Direct app adoption, 50%+ ARPU momentum, and an industry-low ad load ensure strong top-line compounding regardless of search volatility

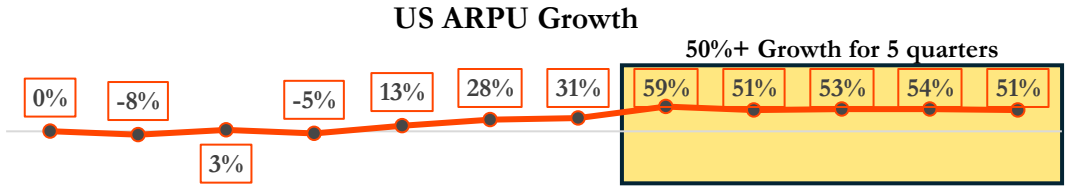
1. AI overviews have disrupted industry-wide referral traffic, but Reddit's high citation share and shift towards direct users mitigate the impact

- "Choppy" and "volatile" referral traffic late in Q2, stemming from Google's Gemini 3.5 Flash update which increased AI overview intensity to more than half of queries, caused a slight US-DAUq decline QoQ
- Reddit still gains major AI overview exposure as the **internet's most cited website**
- Cited sources earn **2.3x more clicks**, protecting Reddit's referral traffic better than competitors, and it's also diversifying toward in-app growth, with "Reddit download" and "Reddit app" now its top worldwide search queries over the past year

> "We're not building for drive-by traffic. We're building a daily destination."
> "The direct users, the app users, are worth multiples more than the search referral traffic."
> **Steven Huffman, CEO | Q2 '26 Earnings Call**

- Search referral traffic skews logged-out and lower-engagement, while app users, 7x+ more monetisable, are growing fast with downloads up 59% in September YoY and new-app-user retention up 50% YoY

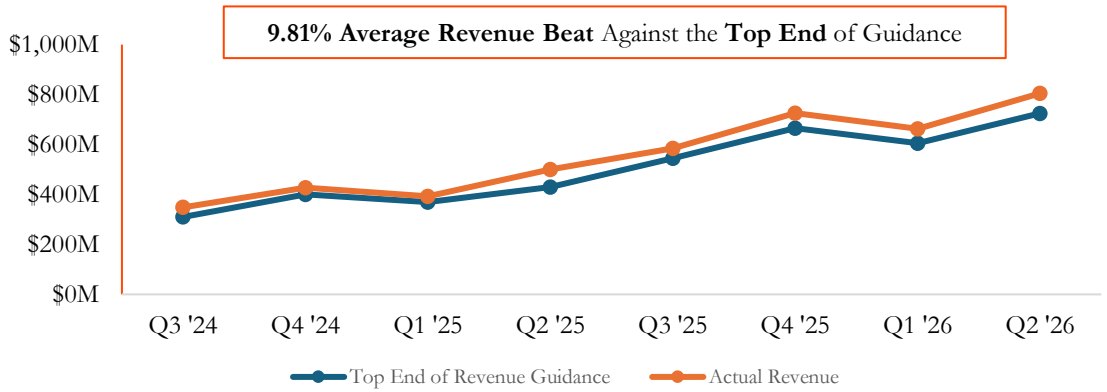
2. Reddit's ad tools provide a strong base to sustain pricing momentum, shown through major margin expansion



- Reddit has had **ad price increases of 32%** and **40%**, combined with **very strong advertiser count growth of 75%+ and 70%+ YoY** over the last two quarters respectively
- Reddit's strong ad tools turn its **community structure into precision targeting**, putting ads in front of people already searching for answers, exactly what advertisers are competing to pay more for
- This pushes ad prices up, sustaining its strong **50%+ US ARPU growth** seen over the last five quarters
- **Pricing only became ARPU's primary driver in Q1 '26**, leaving room to run, and flows straight to profit, pushing Operating EBITDA margin from **16.47% (Q1-Q3 '24)** to **39.24% (Q4 '24-Q2 '26)**

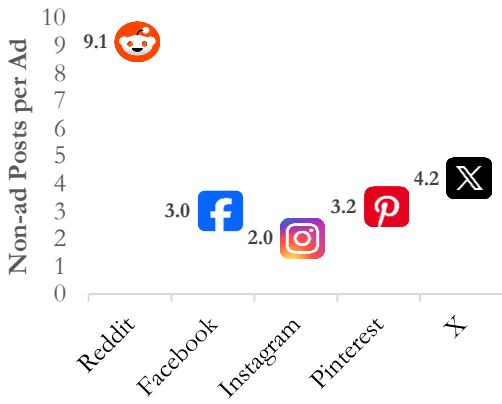
3. Consistent revenue outperformance and raised guidance demonstrate management's confidence in sustaining growth despite user uncertainty

- **Q3 guidance was still raised to $860M-$870M**, far higher than consensus' **$828M-$830M**
- With management's **very strong track record of huge revenue beats against guidance**, management is likely to sustain strong growth even with user growth uncertainty



4. Our primary research shows Reddit's low ad load provides significant untapped monetisation headroom

- **We conducted primary research, sampling over 15k posts** to determine the ad load for different platforms
- Reddit's **9.1 non-ad posts per ad is 2–4× peers**, showing major relative headroom to increase ad load
- This **industry-low ad density** provides a second monetisation lever once pricing growth matures
- More impressions per user create more conversion opportunities for advertisers, **increasing demand** and willingness to pay, **reinforcing Reddit's pricing power**



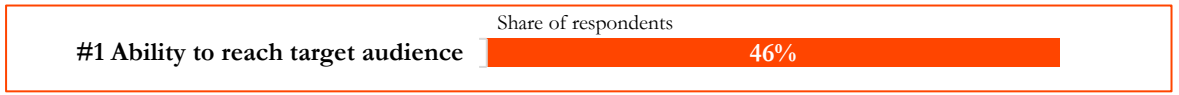
Sources: Visible Alpha, SEC Filings, Earnings Calls

Precision targeting, ad tools, and high-value users give an advertising edge

Self-declared intent, upgraded ad tools, and stickier high-value users compound into durable ad pricing power

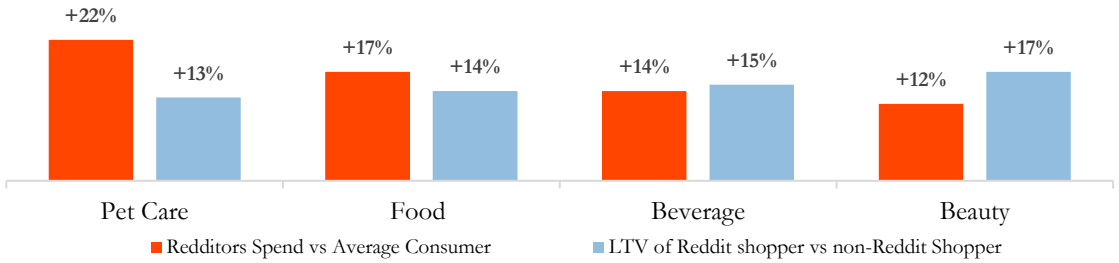
1. Reddit fundamentally solves marketers' biggest problem, reaching the right audience, in a way no other platform can

Leading Challenges of Social Media Marketers



- Apple's 2021 privacy rule made tracking across platforms opt-in, with only **25%** of Apple users opted into being tracked, which lost Meta the data it needs and forced Meta to pivot to Advantage+
- Meta's Advantage+ must use AI to infer user intent from behavioural signals, **Reddit users explicitly reveal their interests through communities**, giving advertisers a direct signal of consumer intent
- EU data restrictions create a structural headwind for Advantage+ as less cross-service data means fewer signals for Meta's AI to optimise against, weakening its targeting advantage
- Reddit was never built on cross-platform tracking, insulating its targeting from privacy crackdowns and allowing advertisers to reach highly relevant audiences through direct, self-declared interests

3. Redditors spend more and stay valuable longer than non-Redditors, making them a group advertisers can't afford to skip

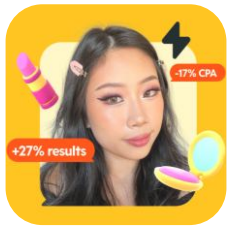


- Customers are worth **13-17% more over five years**, so advertisers can pay more per acquisition and still win, since ROAS understates value that shows up after the reporting window
- The pattern holds across numerous verticals, as **11 of 15 verticals grew 50%+ YoY** in Q2 '26
- This is a case for shifting budget into Reddit, not just adding it as another channel

2. New ad tools are lifting advertiser results and stickiness across the funnel, and that performance is what's giving Reddit pricing power

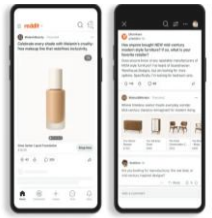
Full Funnel Performance

1 Reddit Max
AI tool automating ad targeting, bidding, and creative in real time



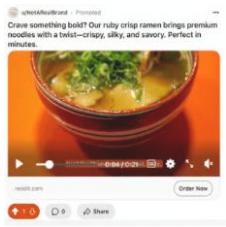
- **-17%** CPA
- **+27%** results in same tests
- **+40%** Purchase value

2 DPA
Ads matching product catalogues to a user's site visits and subreddits



- **4x+** catalogue growth YoY
- Revenue and app installs from DPA **2x** YoY
- **2x ROAS** vs standard campaigns

3 Video Ads
A 6-second guaranteed-view video ad format



- **+130%** view-through
- **+71%** completion rate
- **−83%** average CPV

4 Reddit Answers
AI search tool giving direct answers pulled from Reddit discussions



- Weekly search users **+30%** YoY
- WAUq **1M → 15M** in 3 quarters (Q1 '25 - Q4 '25)

+30%
Click volume YoY

+100%
Conversion volume YoY

1.5x higher ROAS for CPG advertisers vs other social platforms

7x higher ROAS in EMEA for retail advertisers vs other social platforms

>50%
of ad revenue now from **credit-line relationships** vs one-off campaigns

Sources: Visible Alpha, SEC Filings, Flurry, Attain, Circana, TransUnion

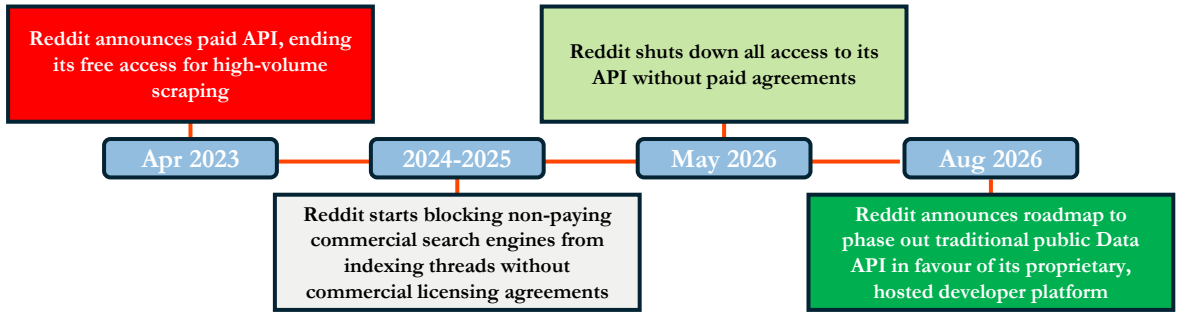
The market is underpricing Reddit's licensing leverage and the international market

As frontier models increasingly depend on human-curated data, data controls give Reddit leverage in contract renewals and search integrations

1. LLMs need Reddit, making a data licensing renewal more likely than the market expects

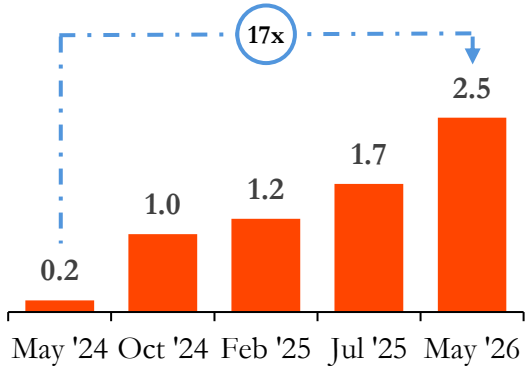
- 22 July WSJ report of a potential Google AI-access cut sent RDDT down **8.3%**, erasing **~$3.2B** of value
- At Reddit's **7.3x forward revenue multiple**, the sell-off appears disproportionate to licensing risk, reflecting an overreaction to **AI-driven traffic and DAU erosion fears**
- We instead see **negotiating leverage**, with Reddit's **26B+ human-ranked posts and comments** supporting a renewal above Google's current **$60M annual contract**

Over the past 3 years, Reddit has slowly shut down its public API program



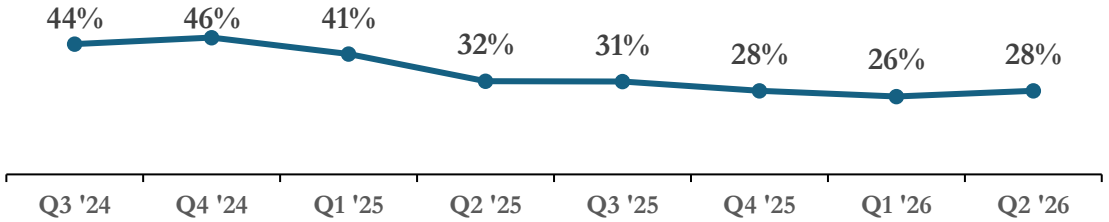
- API restrictions have increasingly made Reddit's data harder to access over the past 3 years, reducing commercial AI users' access to up-to-date data
- **As the #1 cited source by AI agents**, Reddit's data becomes even more valuable as **AI overviews' share of total queries expands by 15% YoY**
- As licensing becomes a larger share of revenue, its low incremental costs should drive further **margin expansion and FCF growth**

Google AI summary usage (B)



2. The market ignores international market's value, strengthening data licensing leverage

International DAUq YoY Growth



- The international market is overlooked for its low ARPU (**$2.26** vs **US: $11.85**), but it holds **59%** of Reddit's DAUq and remains underpenetrated relative to its size, leaving room to grow that the US lacks
- This headroom is shown with **international DAUq up 26%+ for the last 8 quarters**, driven by machine translation across **35 languages** unlocking previously inaccessible non-English communities
- A bigger, faster-growing user base fuels content creation, adding to **Reddit's 26 billion post and comment library** at roughly **a billion posts and comments per quarter**
- **This larger, richer, more diverse library makes Reddit's data more valuable** to LLMs training on authentic human conversation, strengthening its leverage in licensing negotiations and raising the odds of renewals at higher contractual revenue

AI overviews take user growth

- AI search overviews cut organic click-throughs and decelerate DAUq/user growth
- Even as traffic slows, ad pricing power remains resilient in core community verticals
- As users consume Reddit's content indirectly via AI answers, the data becomes more valuable to frontier model labs
- Any uncertainty in ad revenue is mitigated by increases in data licensing revenue

AI overviews don't take user growth

- Prominent AI citations and source links drive incremental discovery, exposing Reddit to non-traditional and international demographics who previously didn't use forums
- Users dissatisfied with AI summaries click through to verify peer-to-peer discussions
- Digital advertising scales alongside organic user adoption

Sources: Visible Alpha, SEC Filings, Earnings Calls, Google events

Key assumptions driving our model and differentiators

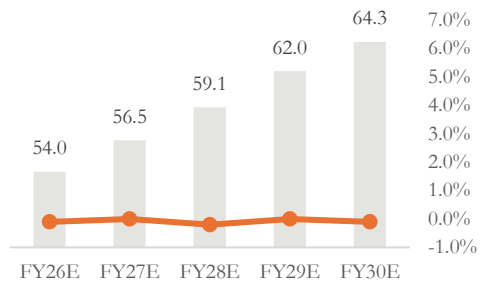
Outperforming consensus through sustained ARPU growth and rapid international expansion

Key assumptions for base scenario (FY2025 → FY2030E)

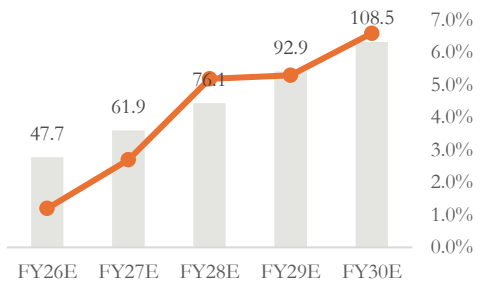
	Model	Consensus	Commentary
US – DAUq	51.1M→64.3M	51.1M→64.3M	We use consensus's conservative estimates
US – ARPU	$31.5→$108.5	$31.5→$101.8	Growth driven by sustained pricing power
International – DAUq	62.9M→131.0M	62.9M→126.8M	Greater penetration upside than the market
International – ARPU	$7.2→$19.7	$7.2→$18.7	Growth driven by sustained pricing power
Other revenue	$140M→$250M	$140M→$202M	Licensing leverage drives high-value renewal
Total revenue	$2.2B→$9.8B	$2.2B→$8.2B	Upside driven by US ARPU and fast Intl. DAUq & ARPU growth
EBIT margin	37.6%→54.0%	37.6%→52.6%	Pricing power results in margin expansion
Target price	$207.2	$175.7	Target price is mostly driven by high revenue in 2029 & 2030
Upside	42.3%	20.7%	

Revenue build and key drivers

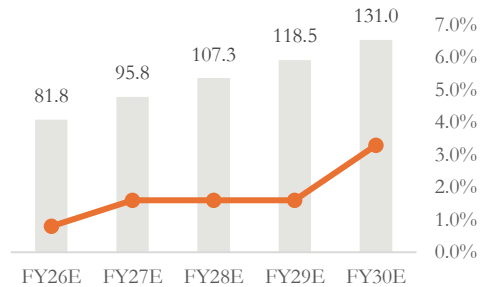
DAUq – US, #M | Variation from consensus, %



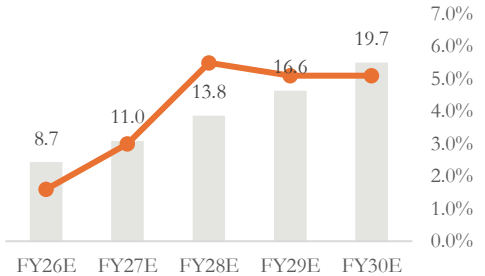
ARPU – US, $ | Variation from consensus, %



DAUq – Intl., #M | Variation from consensus, %



ARPU – Intl., $ | Variation from consensus, %



- We forecast US – DAUq in line with consensus's conservative estimates, while stronger US – ARPU is supported by **rising in-app engagement, expanding ad tools and significant ad-load headroom stabilising Reddit's pricing power**
- We forecast stronger Intl. – DAUq growth as **machine translation unlocks underpenetrated markets**, while Intl. – ARPU remains broadly in line with consensus after adjusting for geographic reporting differences

Our bear and bull cases

Conservative bear case assumptions still show positive returns at today's price level

Key inputs and outputs (FY2025 → FY2030E)

	Bear	Base	Bull
US – DAUq	51.1M→60.9M	51.1M→64.3M	51.1M→66.5M
US – ARPU	$31.5→$96.4	$31.5→$108.5	$31.5→$114.0
International – DAUq	62.9M→121.3M	62.9M→131.0M	62.9M→138.7M
International – ARPU	$7.2→$18.6	$7.2→$19.7	$7.2→$21.1
Other revenue	$140M→$0M	$140M→$250M	$140M→$300M
Total revenue	$2.2B→$8.1B	$2.2B→$9.8B	$2.2B→$10.8B
EBIT margin	37.6%→52.0%	37.6%→54.0%	37.6%→55.0%
Target price	$175.9	$207.2	$225.7
Upside	20.8%	42.3%	55.0%

Sensitivity analysis

Implied share price ($) – WACC vs Terminal growth rate

Terminal growth rate \ WACC	10.8%	11.8%	12.8%	13.8%	14.8%	15.8%	16.8%	17.8%
1.50%	$ 197.13	$ 190.87	$ 184.89	$ 179.17	$ 173.71	$ 168.48	$163.48	$158.70
2.00%	$ 206.24	$ 199.63	$ 193.32	$ 187.29	$ 181.53	$ 176.02	$170.74	$165.70
2.50%	$ 216.62	$ 209.62	$ 202.93	$ 196.55	$ 190.44	$ 184.60	$179.02	$173.67
3.00%	$ 228.56	$ 221.11	$ 213.99	$ 207.19	$ 200.69	$ 194.47	$188.53	$182.84
3.50%	$ 242.44	$ 234.46	$ 226.83	$ 219.55	$ 212.60	$ 205.95	$199.59	$193.50
4.00%	$ 258.76	$ 250.16	$ 241.95	$ 234.11	$ 226.61	$ 219.45	$212.60	$206.04
4.50%	$ 278.25	$ 268.90	$ 259.99	$ 251.47	$ 243.34	$ 235.56	$228.12	$221.01
5.00%	$ 301.90	$ 291.67	$ 281.89	$ 272.56	$ 263.64	$ 255.12	$246.98	$239.18

Implied share price ($) – Terminal WACC vs Terminal growth rate

Terminal growth rate \ Terminal WACC	8.2%	8.7%	9.2%	9.7%	10.2%	10.7%	11.2%	11.7%
1.50%	$ 206.38	$ 196.04	$ 187.06	$ 179.18	$ 172.20	$ 165.99	$160.42	$155.40
2.00%	$ 218.68	$ 206.65	$ 196.30	$ 187.30	$ 179.40	$ 172.41	$166.19	$160.61
2.50%	$ 233.15	$ 218.97	$ 206.92	$ 196.55	$ 187.53	$ 179.62	$172.62	$166.38
3.00%	$ 250.43	$ 233.47	$ 219.27	$ 207.19	$ 196.80	$ 187.77	$179.84	$172.83
3.50%	$ 271.40	$ 250.78	$ 233.79	$ 219.56	$ 207.46	$ 197.06	$188.01	$180.06
4.00%	$ 297.41	$ 271.79	$ 251.13	$ 234.11	$ 219.85	$ 207.74	$197.31	$188.24
4.50%	$ 330.52	$ 297.85	$ 272.18	$ 251.48	$ 234.43	$ 220.15	$208.01	$197.56
5.00%	$ 374.09	$ 331.02	$ 298.28	$ 272.57	$ 251.83	$ 234.75	$220.44	$208.28

Many viable pathways to reaching our price target, whilst retaining moments to reconsider

Major catalysts through FY28 will unlock value, while every key risk has strong, clear mitigants

Event path

Q4 '26 – Q2 '27

Data licensing renewals

- Contract renegotiations with OpenAI/Google with potential pricing step-ups as frontier LLMs demand fresh data and real-time access

API phase-out

- As Reddit data becomes more scarce, enterprises are forced to sign contracts with Reddit in order to secure valuable data for AI retrieval

FY27

Ad load monetisation & pricing power

- As Reddit proves it can sustain its ARPU growth despite stagnating DAUq growth, revenue beats forecasts
- Ad stack maturity allows social media marketers the right tools to fully leverage Reddit's structural advantage over competitors
- Greater mix shift toward credit-line advertising reduces revenue churn and improves revenue forecasting

FY28 Forward

International ARPU convergence

- International expansion and new ad tools are increasing overseas revenue contribution, diversifying Reddit's growth beyond the US
- This provides a second growth engine as US user growth matures and pricing gains moderate, reducing reliance on the US market

Risks & mitigants

Business risks	Mitigants
Search referral volatility Google's AI overviews and algorithm changes are eroding Reddit's traffic, directly threatening user growth	• Reddit's high citation share, earning roughly 2.3x more clicks, keeps it very well protected • Reddit doesn't need user growth to drive revenue growth, since early-stage pricing power, industry-low ad load, and its in-app user focus can sustain growth despite user growth uncertainty
US DAUq stagnation Slowing growth in Reddit's highest-monetising user base could constrain advertising revenue growth	• US users are Reddit's highest-paying, so a fall in their activity would hurt revenue, however, their sticky users alongside strong pricing power potential mitigates this risk • Reddit's data becomes more valuable, increasing data licensing revenue, and offsets any potential advertising revenue slumps
Licensing negotiations falter Weaker renewal terms or failed negotiations could reduce Reddit's long-term recurring revenue	• If contract renegotiations go worse than expected, our data licensing bull case is still only 7.0% of our bear revenue for FY26, hence doesn't significantly impact the top line • Thesis reassessment would focus more on pricing power

APPENDIX

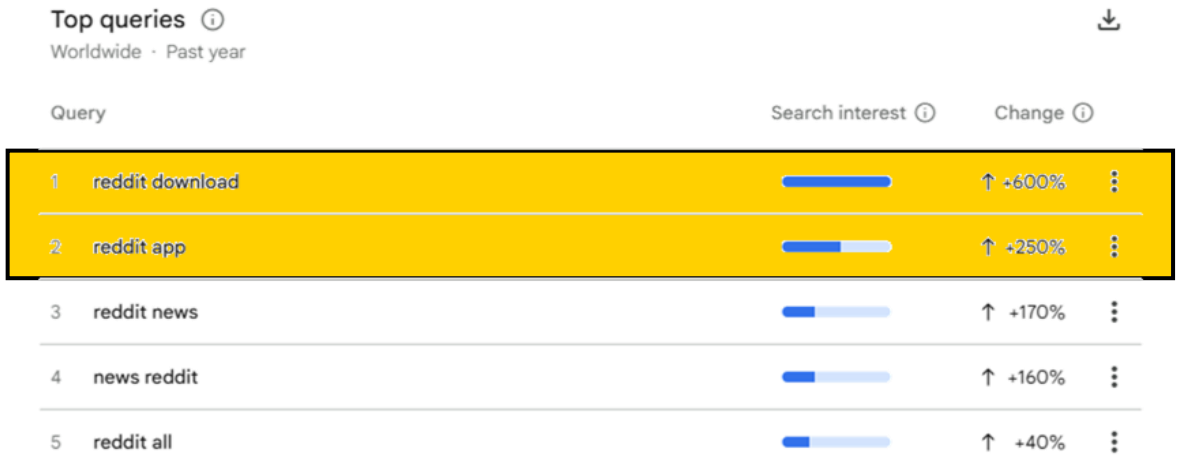
Appendix A

Primary research shows ad–load headroom and in–app demand signals upside

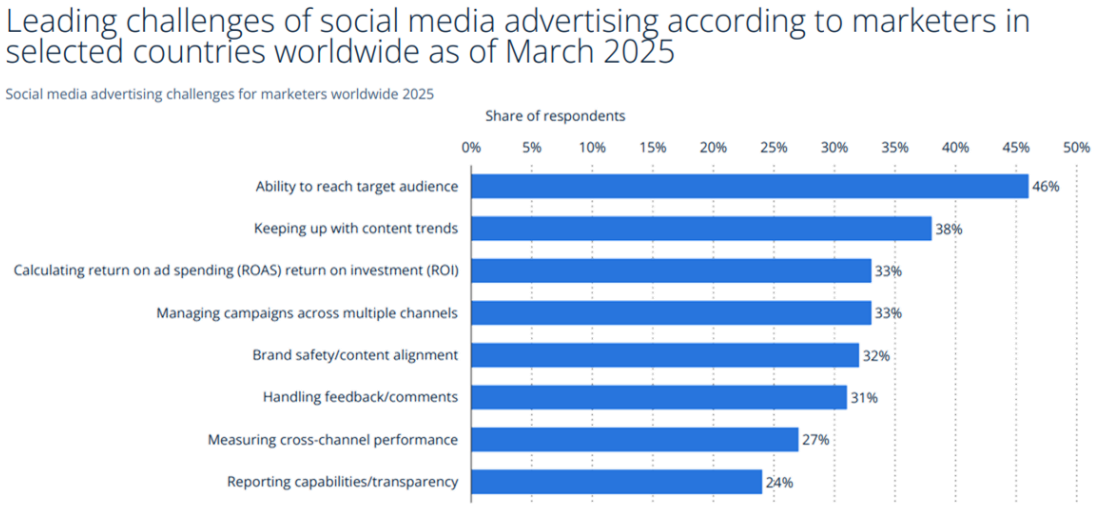
	Non-ads	Ads	Non-ads per ad
Reddit	2794	306	9.13
r/FinancialCareers	557	63	8.84
r/AskReddit	575	45	12.78
r/MakeupAddiction	551	69	7.99
r/HomeImprovement	552	68	8.12
r/fashion	559	61	9.16
Facebook	2329	771	3.02
Instagram	2079	1021	2.04
Pinterest	2356	744	3.17
X	2503	597	4.19
Total	12061	3439	3.51

Total posts tested	15500

Sources: Primary Research, Google Trends, Apptopia, Statista



represent 80% to 90% of revenue. Third-party Apptopia data shows app downloads up 59% year-over-year and daily active users up 38% year-over-year in September month-to-date.



Appendix B

Model summary – headline financials & DCF

Headline Financials - Base Case									
				Projected					26-'30
FYE Dec. 31	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E	CAGR
US DAU	31.43	45.80	51.13	53.98	56.48	59.09	61.96	64.27	4.5%
YoY Growth		45.7%	11.6%	5.6%	4.6%	4.6%	4.9%	3.7%	
Var from Consensus				-0.1%	0.0%	-0.2%	0.0%	-0.1%	
US ARPU	20.31	20.77	32.23	47.66	61.87	76.13	92.92	108.52	22.8%
YoY Growth		2.3%	55.1%	47.9%	29.8%	23.1%	22.1%	16.8%	
Var from Consensus				1.2%	2.7%	5.2%	5.3%	6.6%	
International DAU	33.53	47.40	62.85	81.84	95.83	107.33	118.48	130.97	12.5%
YoY Growth		41.4%	32.6%	30.2%	17.1%	12.0%	10.4%	10.5%	
Var from Consensus				0.8%	1.6%	1.6%	1.6%	3.3%	
International ARPU	4.55	4.82	6.53	8.71	11.04	13.81	16.57	19.68	22.6%
YoY Growth		5.9%	35.5%	25.0%	21.1%	20.1%	20.0%	18.8%	
Var from Consensus				1.6%	3.0%	5.5%	5.1%	5.1%	

$mm unless stated	2023A	2024A	2025A	2026E	2027E	2028E	2029E	2030E
Group revenue	$806	$1,295	$2,198	$3,495	$4,802	$6,231	$7,970	$9,803
Group operating margin	-	-	37.60%	45.85%	48.18%	49.58%	51.60%	54.00%
Operating income (EBIT)	-	-	$827	$1,602	$2,314	$3,089	$4,113	$5,293
Less: taxes at effective rate	-	-	-	($80)	($185)	($432)	($617)	($953)
After-tax operating income (NOPAT)	-	-	**$827**	**$1,522**	**$2,129**	**$2,657**	**$3,496**	**$4,341**
Revenue change (YoY)		$489	$904	$1,297	$1,307	$1,429	$1,740	$1,832
Reinvestment (revenue change / sales-to-capital)			$164	$236	$238	$260	$316	$333
FCFF (NOPAT - Reinvestment)			**$662**	**$1,286**	**$1,891**	**$2,397**	**$3,180**	**$4,007**
Discount Period				0.30	1.30	2.30	3.30	4.30
Discount factor (at current WACC)				0.9615	0.8452	0.7429	0.6530	0.5739
PV of FCFF				**$1,237**	**$1,598**	**$1,781**	**$2,076**	**$2,300**

ENTERPRISE VALUE		
Component	**Value ($mm)**	**% of EV**
PV of explicit forecast FCFFs (2026-2030)	8,992	23.0%
PV of terminal value	30,081	77.0%
Enterprise Value	**39,073**	

FAIR VALUE PER SHARE		
Item	**Value**	**Unit**
Equity value ($mm)	41,859	$mm
Diluted shares outstanding	202	millions
Fair value per share	**$207.19**	$/share

EQUITY VALUE BRIDGE		
Item	**Value ($mm)**	**Sign**
Enterprise value		39,073
Market value of debt		0
Cash and equivalents		2,786.36
Minority interests		0
PV of future SBC dilution		0
Equity Value		**41,859**

COMPARISON TO CURRENT PRICE		
Item		**Value**
Fair value per share		$207.19
Current RDDT share price (as of 9/9/2026)		$145.61
Upside / (downside)		**42.3%**

Appendix C

Reverse DCF calculations

FIXED INPUTS		
Item	**Value**	**Unit**
FY2025 base revenue	$2,198.18	$mm
Current WACC	13.77%	%
Terminal WACC	9.67%	%
Terminal growth rate (g)	3.00%	%
Sales-to-capital	5.50	ratio
Tax rate	25.00%	%
Diluted shares	202	millions
Current price (target)	$145.61	$/share
Net cash (cash - debt - minorities - SBC PV)	$2,786.36	$mm
Implied 5-year revenue CAGR (2026-2030)	**25.51%**	%
Implied terminal operating margin	**45.00%**	%

REVERSE DCF — TERMINAL VALUE	
Terminal year revenue (2031)	$7,053
Terminal EBIT	$3,174
Terminal NOPAT	$2,380
Terminal revenue change	$205
Terminal reinvestment	$46
Terminal FCFF	**$2,335**
Terminal value	**$35,023**
PV of Terminal value	**$20,101**

IMPLIED REVENUE AT SOLVE CAGR ($mm)						
Year	**2025A**	**2026E**	**2027E**	**2028E**	**2029E**	**2030E**
Revenue	$2,198	$2,759	$3,463	$4,346	$5,455	$6,847
EBIT	$827	$1,265	$1,669	$2,155	$2,815	$3,698
NOPAT	-	$1,202	$1,535	$1,853	$2,393	$3,032
Revenue change YoY		$561	$704	$884	$1,109	$1,392
Reinvestment		$102	$128	$161	$202	$253
FCFF		**$1,100**	**$1,407**	**$1,693**	**$2,191**	**$2,779**
Discount period		0.30	1.30	2.30	3.30	4.30
Discount factor	1.0000	0.9615	0.8452	0.7429	0.6530	0.5739
PV of FCFF		**$1,057**	**$1,189**	**$1,257**	**$1,431**	**$1,595**

IMPLIED PRICE VS CURRENT		
Item	**Value**	**Unit**
Sum of PV of explicit FCFFs	$6,530	$mm
PV of terminal value	$20,101	$mm
Enterprise Value (implied)	**$26,631**	$mm
Net cash	$2,786	$mm
Equity Value (implied)	**$29,417**	$mm
Implied price per share	**$145.61**	$/share
Current price	$145.61	$/share
Gap	**(0.0%)**	%

Forward P/E and short interest both show the market overpenalising Reddit

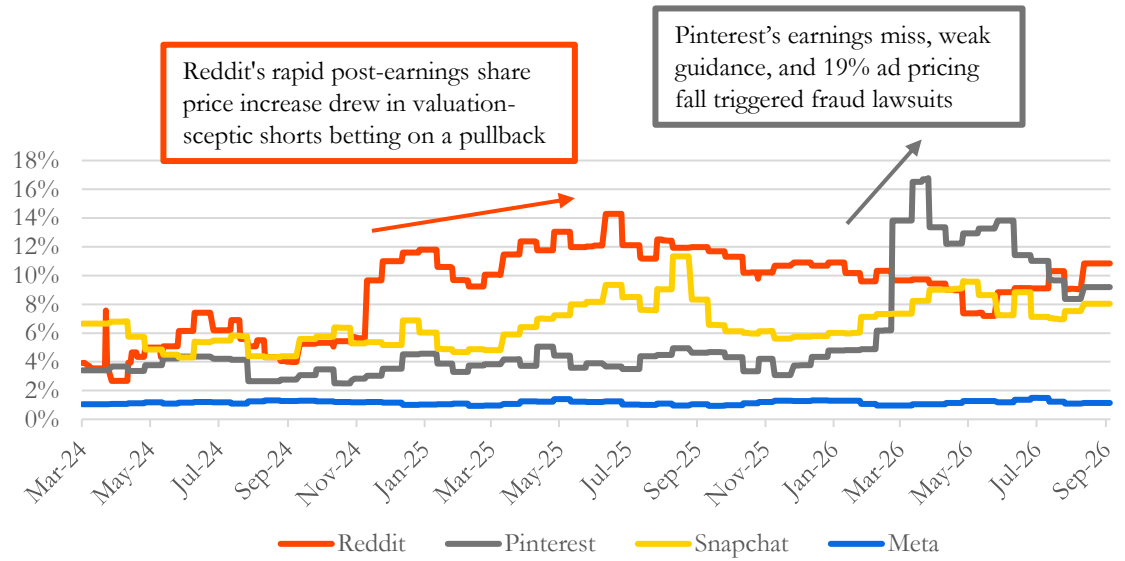
Growth phase[1]	Forward P/E
Q3 ’24 – Present	**24.2x**

Historical peer benchmarks

Comp	Growth Phase	Median Forward P/E	Mean Forward P/E
	Q4 ’13 – Q2 ‘14	43.8x	45.2x
	Q4 ‘20 – Q2 ’21	190.8x	208.1x
	Q4 ’20 – Q2 ’21	69.0x	69.2x

- Reddit’s **24.2x forward P/E** sits **45–65%** below Meta and Pinterest's median multiples during their own **60%+ revenue growth phases**
- Meta operated at substantially greater scale during its comparable growth phase (Q4 '13 –Q2 '14 revenue: $2.59B to $2.91B) than Reddit does today (Q3 '24–Q2 '26 revenue: $348M to $805M)
- **An earlier-stage company with a longer growth runway should command a valuation premium**, not a discount, indicating the market is overpenalising Reddit relative to comps at the same growth stage

Short interest as % of free float



Current-day short interest as % of free float

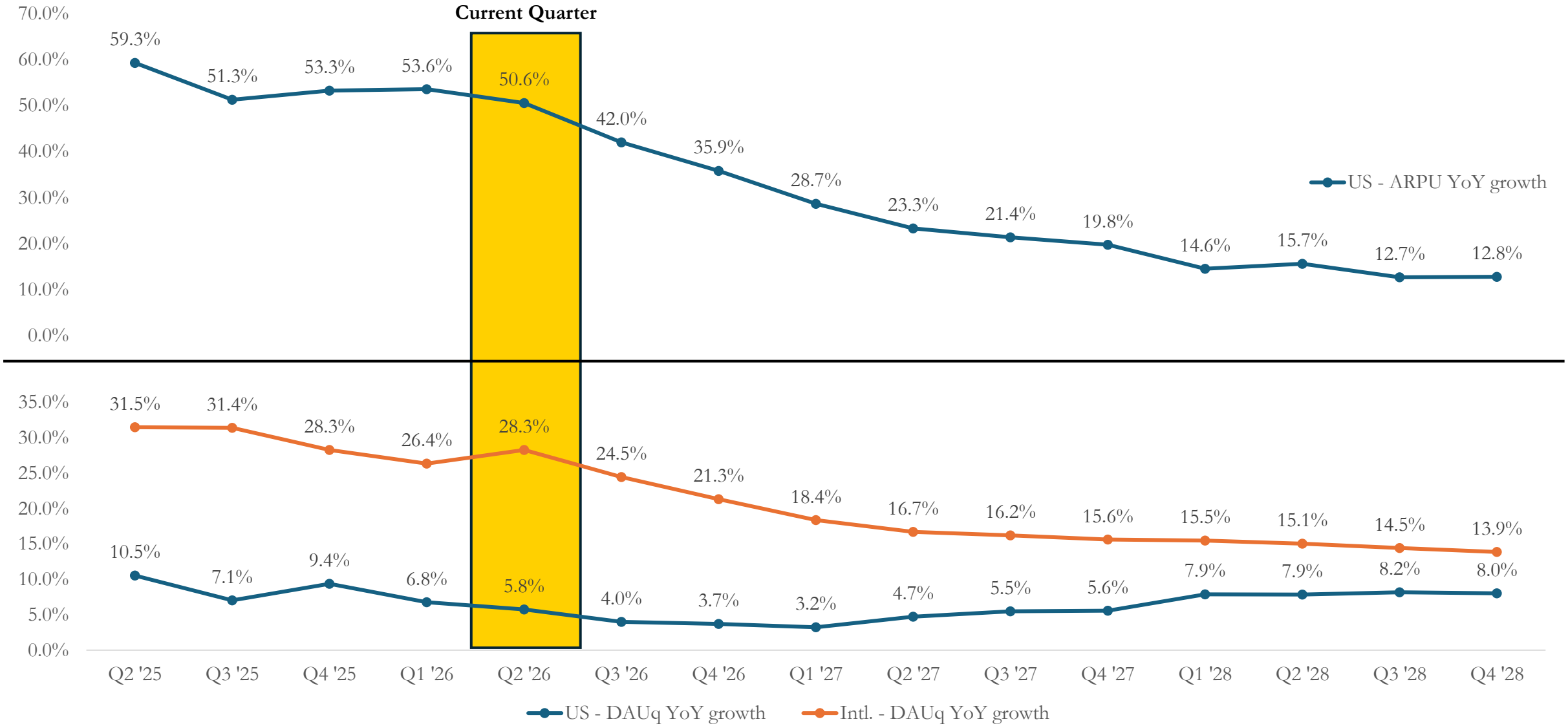
10.84%	9.20%	8.04%	1.13%

- Reddit’s **short interest began rising in Nov 2024**, as its **40% rally** after **Q3 earnings** and near tripling since its IPO **attracted valuation sceptics**
- **Pinterest briefly overtook Reddit in early 2026** after a **Q4 earnings miss, weak guidance, and fraud litigation**, but its short interest has since fallen, **leaving Reddit the most shorted of the peers**
- **Reddit has the highest short interest** despite **stronger fundamentals than Snapchat and Pinterest**, with **revenue growth of 60%+, industry-leading gross margins, no debt**, and **robust free cash flow**, compared with **Snap’s giant losses of $857M over the last 2Y** and **Pinterest’s slowing growth**
- **This disconnect between fundamentals, valuation, and crowded short positioning** creates **meaningful short squeeze potential from any upside catalyst**

Note: (1) consecutive quarters of 60%+ YoY revenue growth, excluding isolated post-IPO streaks
Sources: Bloomberg, Capital IQ

Appendix E

Consensus US –ARPU growth and DAUq growth



Source: Visible Alpha